SAP S/4HANA CLOUD Training Project Report

Procure-to-Pay (P2P) Cycle Simulation

SAP MM Module | Materials Management

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	SAP S/4HANA Cloud (Trial)
	April 18, 2026
	SAP MM – Materials Management

Step 1 Purchase Requisition	Step 2 Purchase Order	Step 3 Goods Receipt	Step 4 Invoice Verification	Step 5 Payment

Submitted as part of KIIT SAP Project Work | System: my429998.s4hana.cloud.sap

1. Introduction to SAP and the MM Module

SAP (Systems, Applications, and Products in Data Processing) is one of the world's leading enterprise resource planning (ERP) software platforms. SAP S/4HANA is the latest generation, built on the SAP HANA in-memory database, offering real-time processing and the modern Fiori UI. This project was executed on the SAP S/4HANA Cloud Trial system.

SAP MM – Materials Management

- Purchasing – Purchase Requisitions and Purchase Orders
- Inventory Management – Goods movements and stock monitoring
- Invoice Verification – Three-way match (PO + GR + Invoice)
- Material Master and Vendor Master Data management

The Procure-to-Pay (P2P) Cycle – Overview

Step	Document	SAP Fiori App	Purpose
1	Purchase Requisition (PR)	Create Purchase Requisition	Internal request to procure materials
2	Purchase Order (PO)	Manage Purchase Orders	Formal order sent to supplier
3	Goods Receipt (GR)	Post Goods Receipt	Confirm physical receipt of goods
4	Invoice Verification	Create Supplier Invoice	Validate invoice – 3-way match
5	Payment	FI Payment Run	Process payment to supplier

2. Business Scenario

For this training project, the following business scenario was simulated on SAP S/4HANA Cloud. Velotics Inc. required 10 units of 26ECR-BATTERY for operational use. The procurement team raised an internal Purchase Requisition which was converted to a Purchase Order for Carbon Tec Inc.

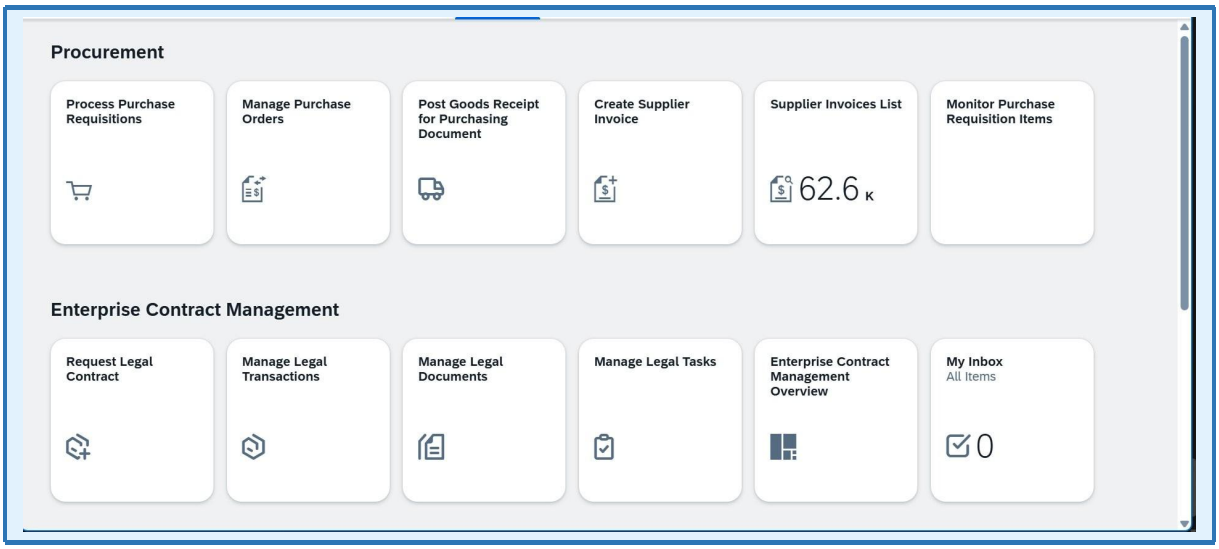
Company	Velotics Inc. (Company Code: 1710)
Purchasing Organization	Purch. Org. 1710
Plant	Plant 1 US (1710)
Storage Location	Returns (171R)
Material Procured	26ECR-BATTERY (MZ-RM-26ECR-1)
Material Group	Battery (ZBATTERY)
Supplier	Carbon Tec Inc. (Supplier No: 17300002)
Quantity	10 PC (Pieces)
Unit Price	22.83 USD per PC
Total Value	228.30 USD
Transaction Date	April 18, 2026
PR Number	10006734
PO Number	4500064017
Material Document	5000064067/2026
Supplier Invoice	5105662751/2026

3. Step-by-Step P2P Process Execution

3.1 Steps 1–2: SAP Home & Procurement Dashboard

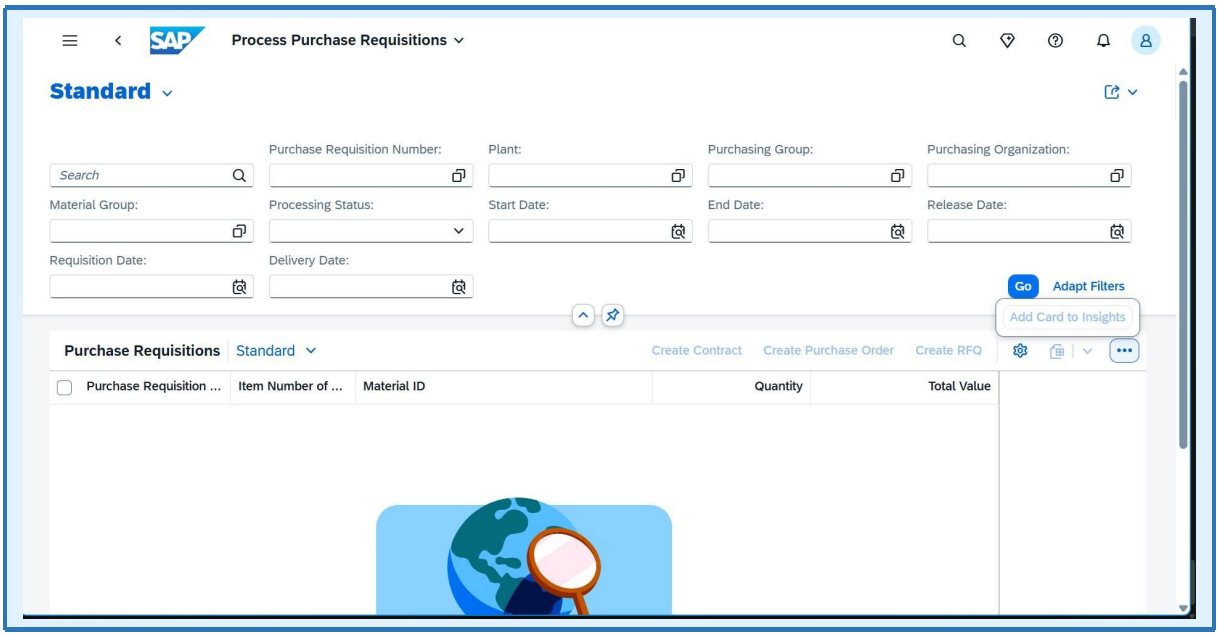
The project was executed on the SAP S/4HANA Cloud Trial system. The Fiori Launchpad home screen provides access to all functional areas. The Procurement dashboard shows all P2P apps as interactive tiles.

Screenshot 1



SAP S/4HANA Cloud – Procurement Dashboard showing all available P2P applications

Screenshot 2

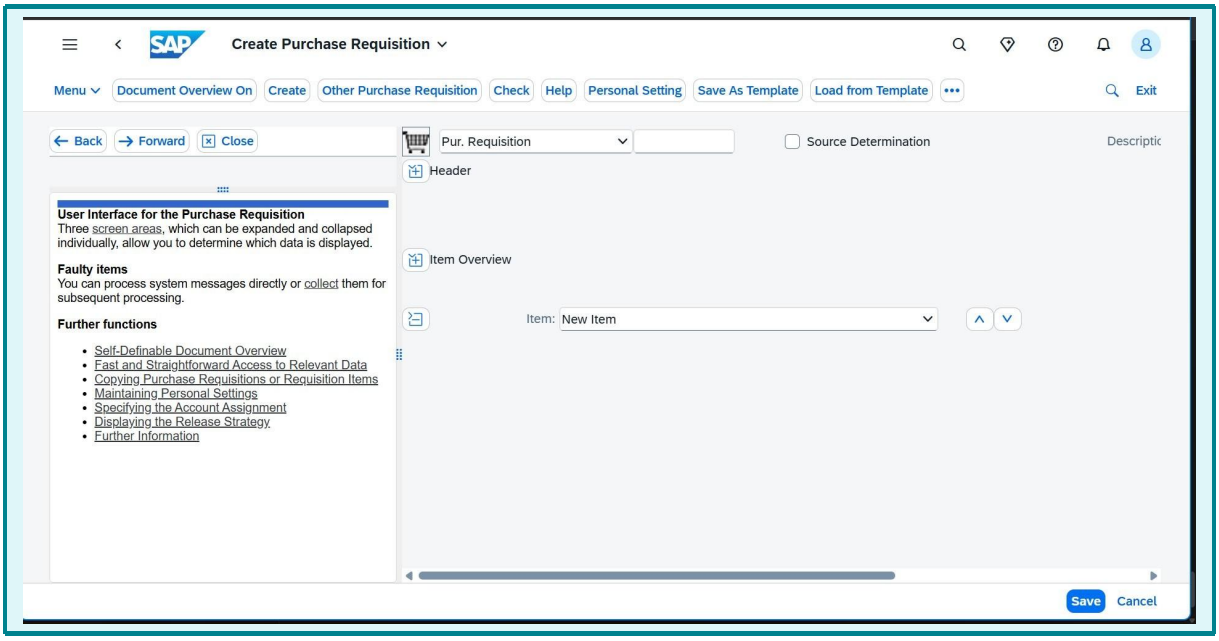


Process Purchase Requisitions – Search Screen (navigating to PR creation)

3.2 Steps 3–5: Create Purchase Requisition

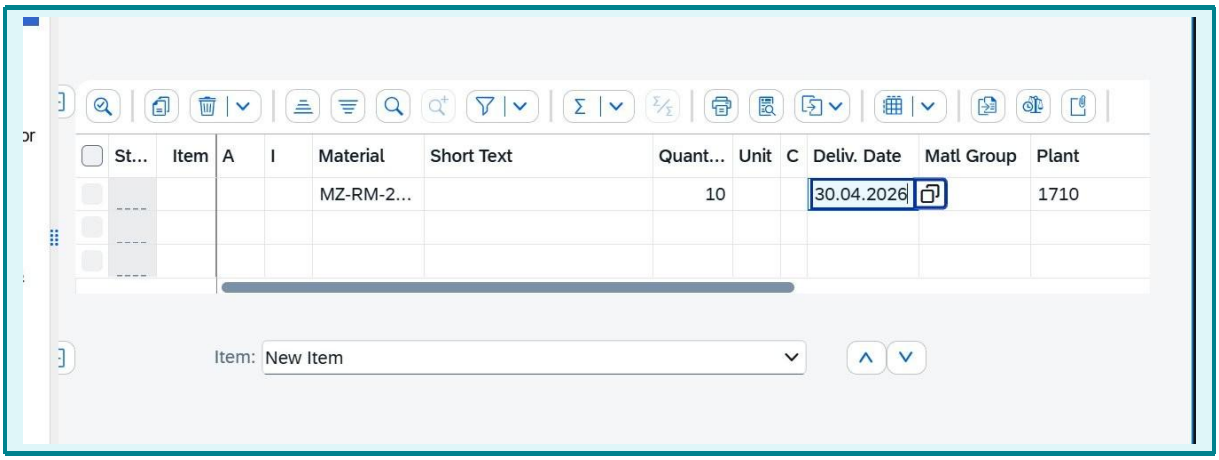
A Purchase Requisition (PR) is an internal document to request materials. The 'Create Purchase Requisition' app was used. Item details were filled: Material MZ-RM-26ECR-1 (26ECR-BATTERY), Quantity 10 PC, Plant 1710, Delivery 30.04.2026. After saving, PR 10006734 was generated with status Release Completed.

Screenshot 3



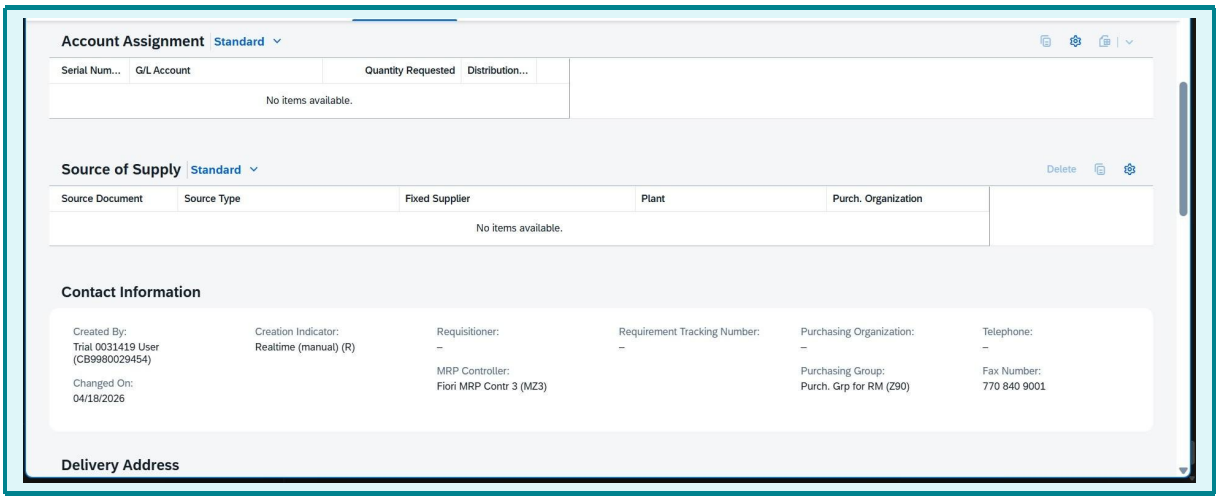
Create Purchase Requisition – Main form with Item Overview and Header sections

Screenshot 4



PR Item Details – Material MZ-RM-26ECR-1, Quantity 10 PC, Delivery Date 30.04.2026, Plant 1710

Screenshot 5

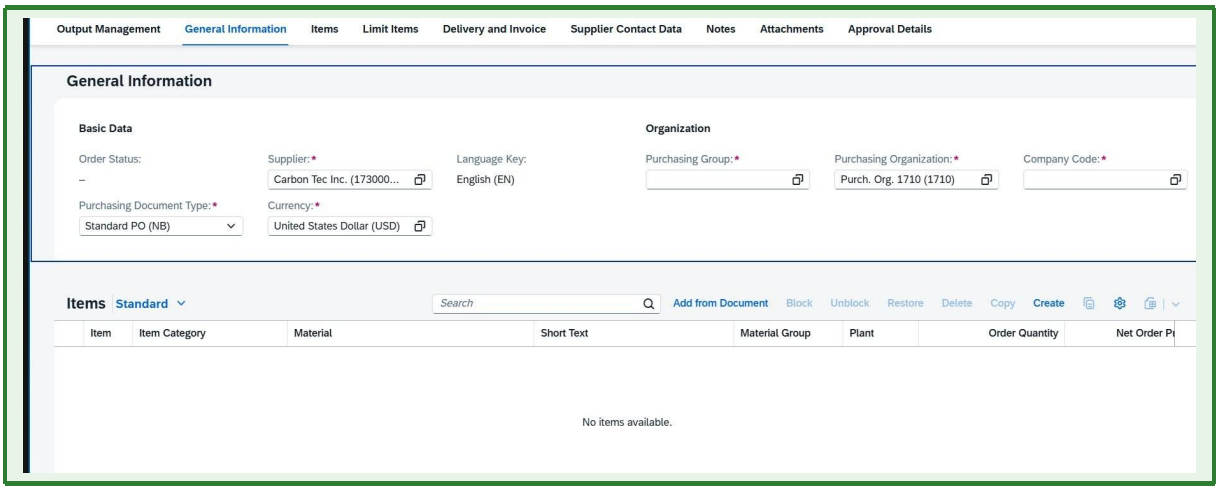


PR Detail View – Status: Release Completed | Material: 26ECR-BATTERY | Plant 1 US (1710) | Created: 04/18/2026

3.3 Steps 6–7: Create Purchase Order – Setup

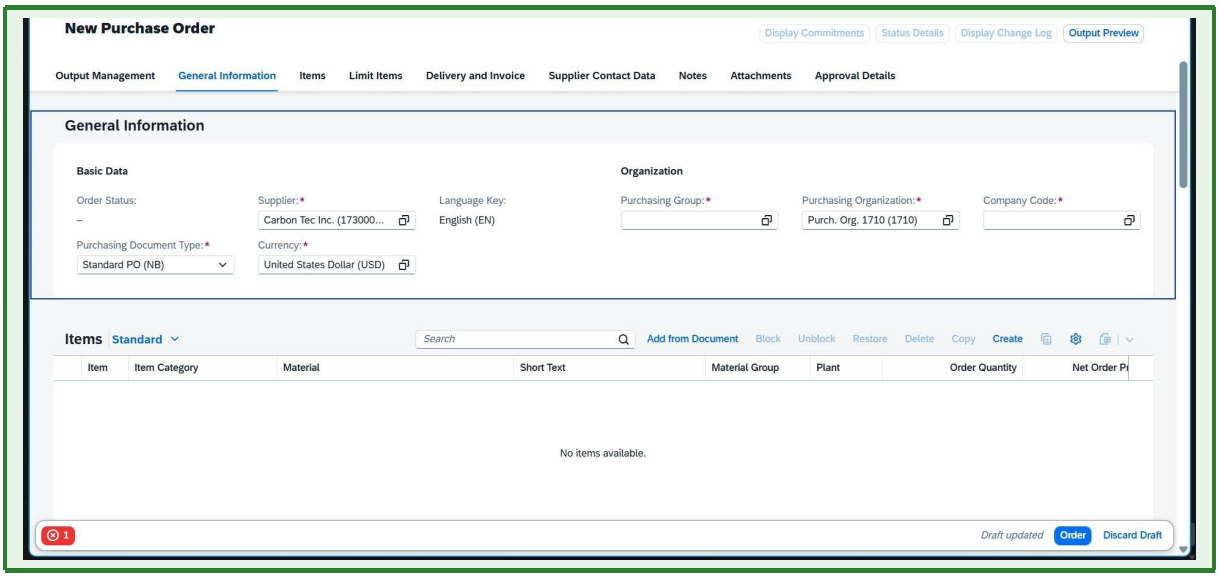
A Purchase Order is a legally binding commercial document sent to the supplier. The 'Manage Purchase Orders' app was used. Supplier Carbon Tec Inc. (17300002) was assigned with Purchasing Org 1710. The 'Add from Document' function was used to reference PR 10006734.

Screenshot 6



New Purchase Order Form – Supplier: Carbon Tec Inc. (17300002) | Purch. Org. 1710 | Standard PO (NB)

Screenshot 7

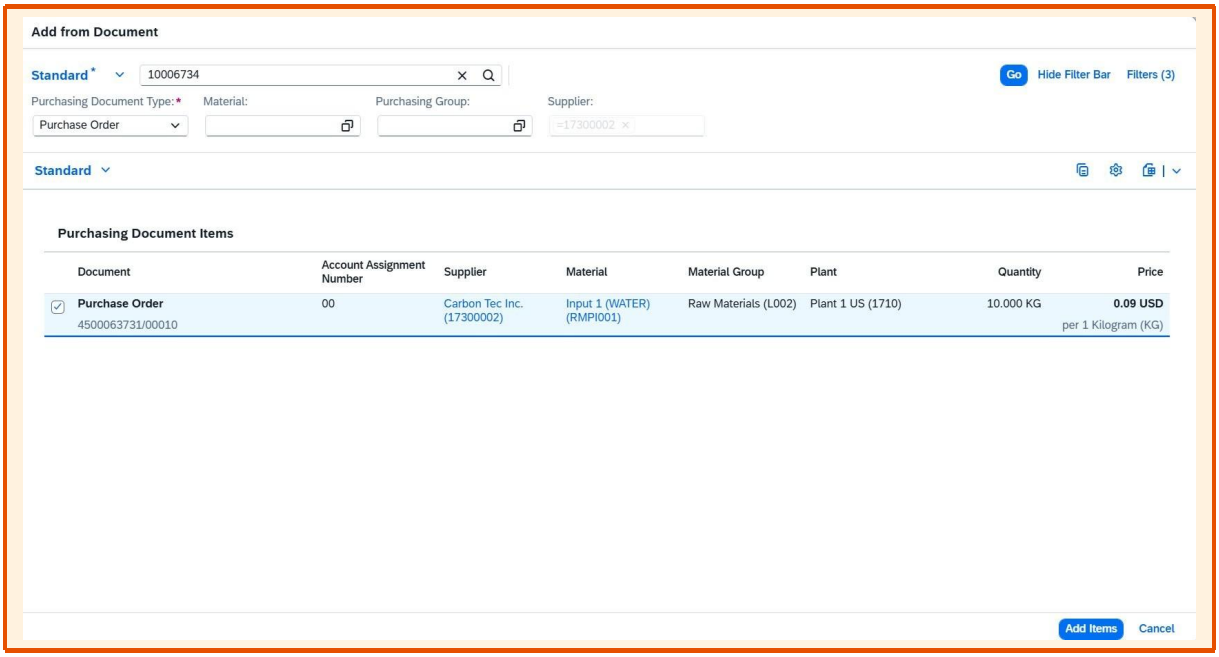


Add from Document – PR 10006734 selected showing 26ECR-BATTERY, 10 PC, 228.30 USD

3.4 Steps 8–10: Purchase Order – Item & Confirmation

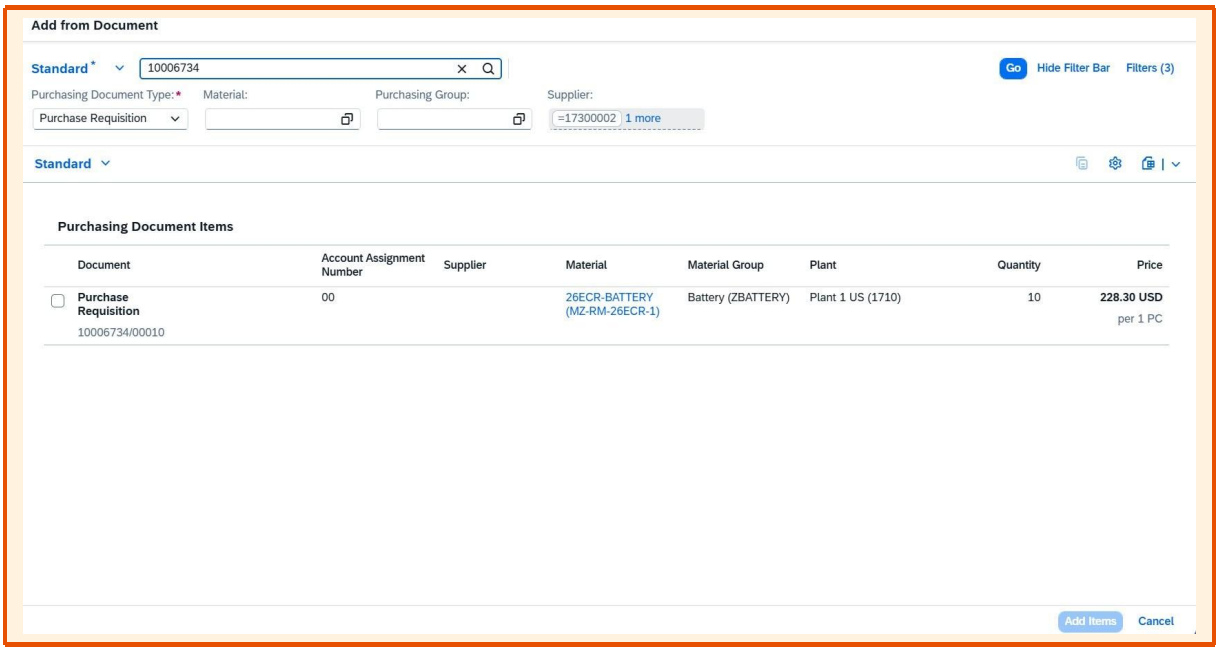
The PR item 10006734/00010 (26ECR-BATTERY, 10 PC, 228.30 USD) was successfully pulled into the PO. Price was set at 22.83 USD per PC. After clicking Order, the system generated PO Number 4500064017 with status In Approval.

Screenshot 8



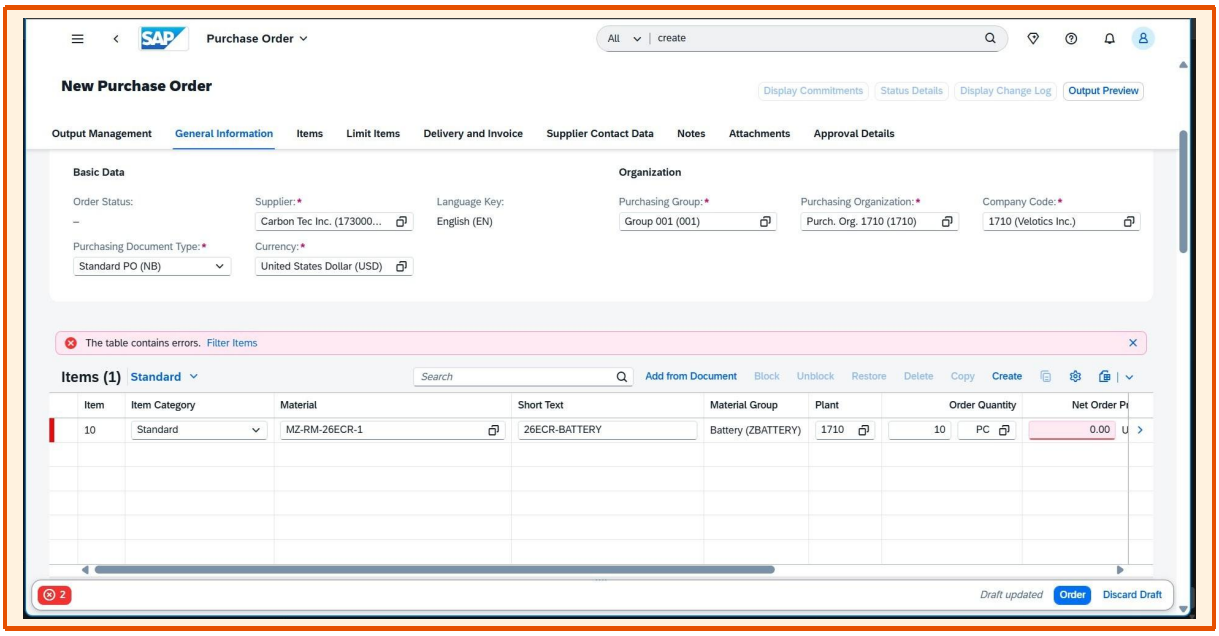
Add from Document – Purchase Requisition type selected, PR 10006734/00010 with 26ECR-BATTERY

Screenshot 9



New Purchase Order – Item added: 26ECR-BATTERY (MZ-RM-26ECR-1), Qty 10 PC, Price 22.83 USD

Screenshot 10

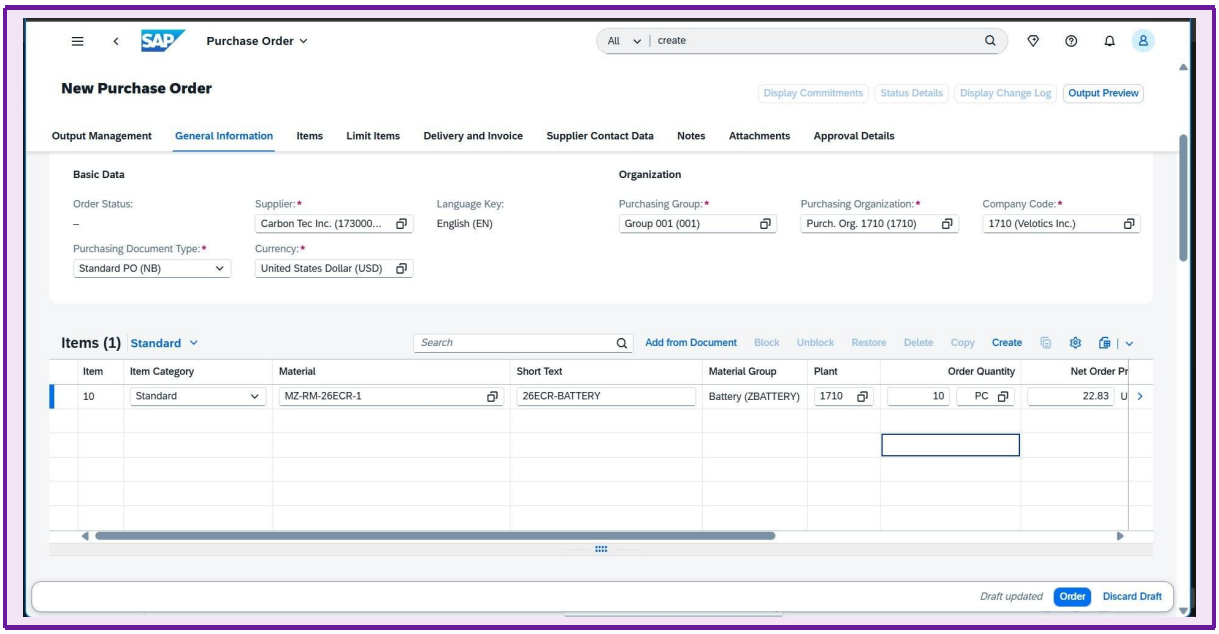


PO 4500064017 Created – Status: In Approval | Carbon Tec Inc. | Velotics Inc. (1710) | Date: 04/18/2026

3.5 Steps 11–12: Post Goods Receipt

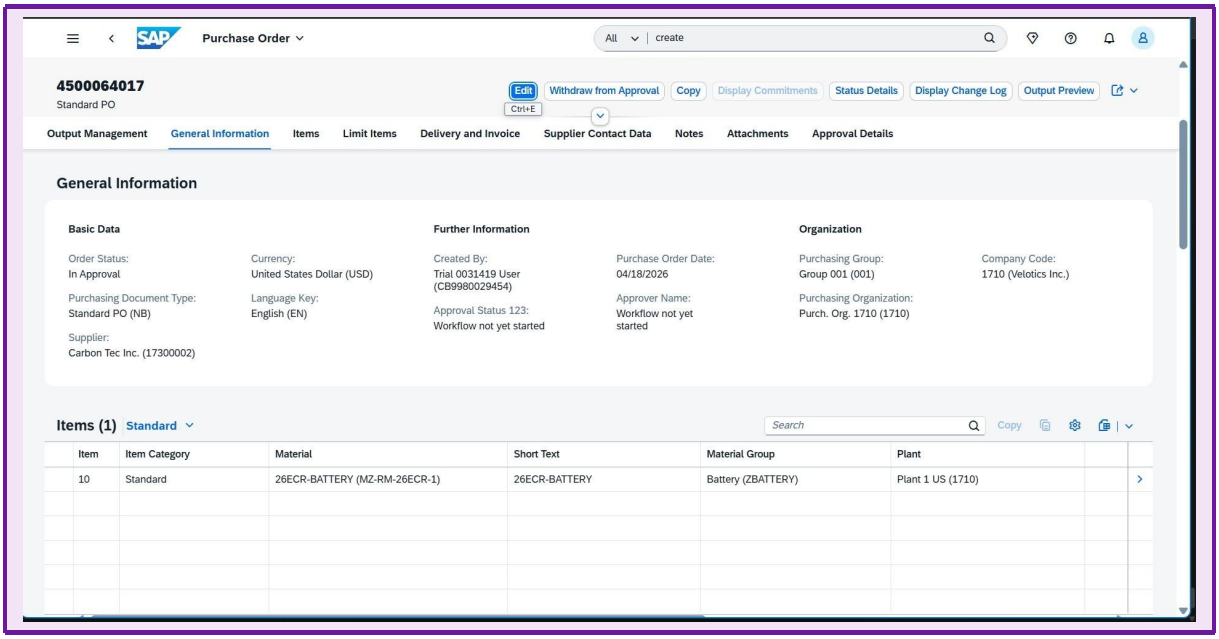
Goods Receipt (GR) is posted when physical delivery is received. Using 'Post Goods Receipt for Purchasing Document', PO 4500064017 was referenced. The system showed 26ECR-BATTERY, Open Qty 10.000 PC, Plant 1710. After posting, Material Document 5000064067/2026 was created.

Screenshot 11



Post Goods Receipt – PO 4500064017 | 26ECR-BATTERY | Open Qty: 10.000 PC | Date: 04/18/2026

Screenshot 12



Goods Receipt SUCCESS – Material Document 5000064067/2026 created successfully

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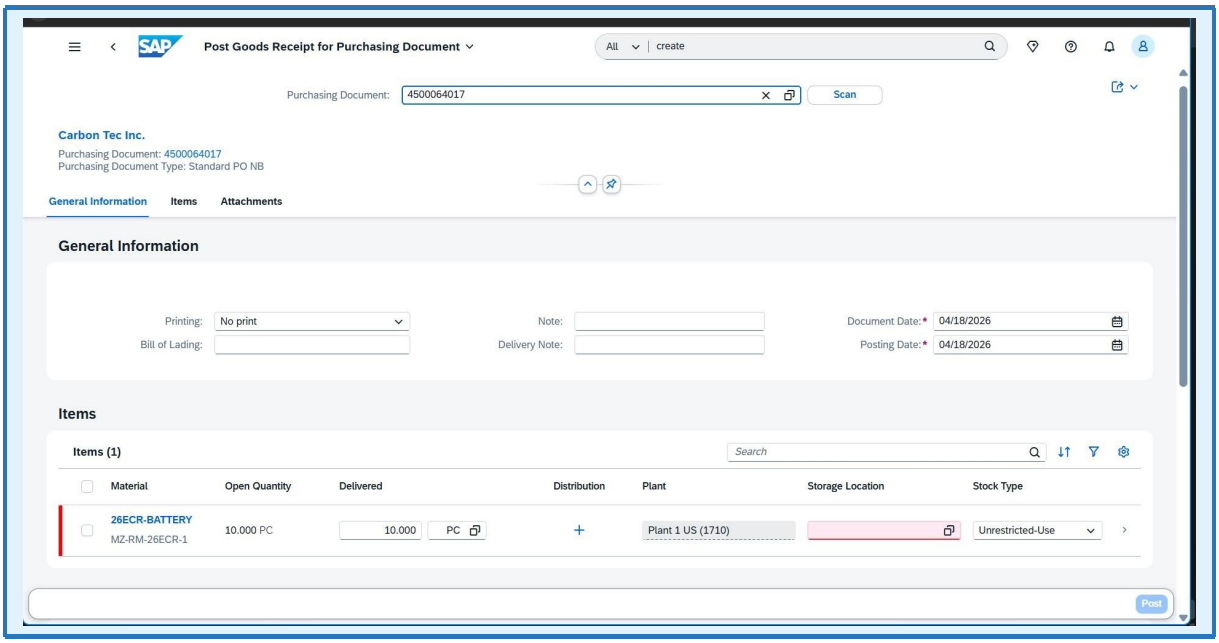
3.6 Steps 13–15: Goods Receipt Detail & Invoice Setup

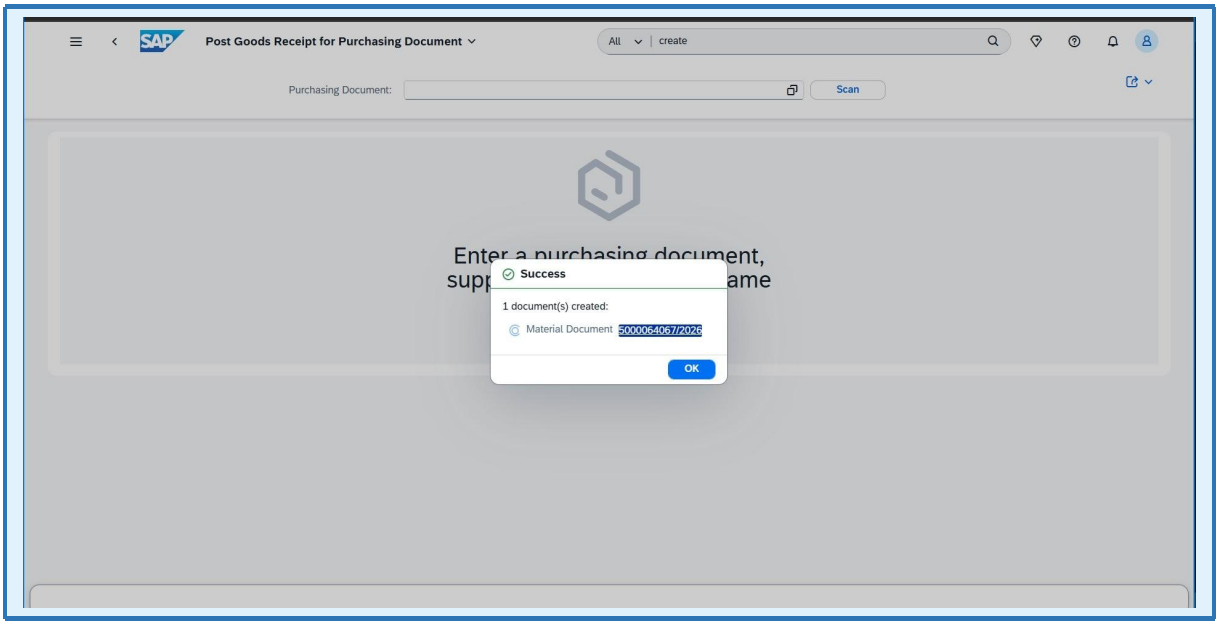
The Material Document confirmed 10 PC of 26ECR-BATTERY received at Plant 1 US (1710) on 04/18/2026. The Create Supplier Invoice screen was then opened. Company Code 1710, Invoicing Party 17300002 (Carbon Tec Inc.), Gross Amount 228.30 USD, and Reference PO 4500064017 were entered.

Screenshot 13



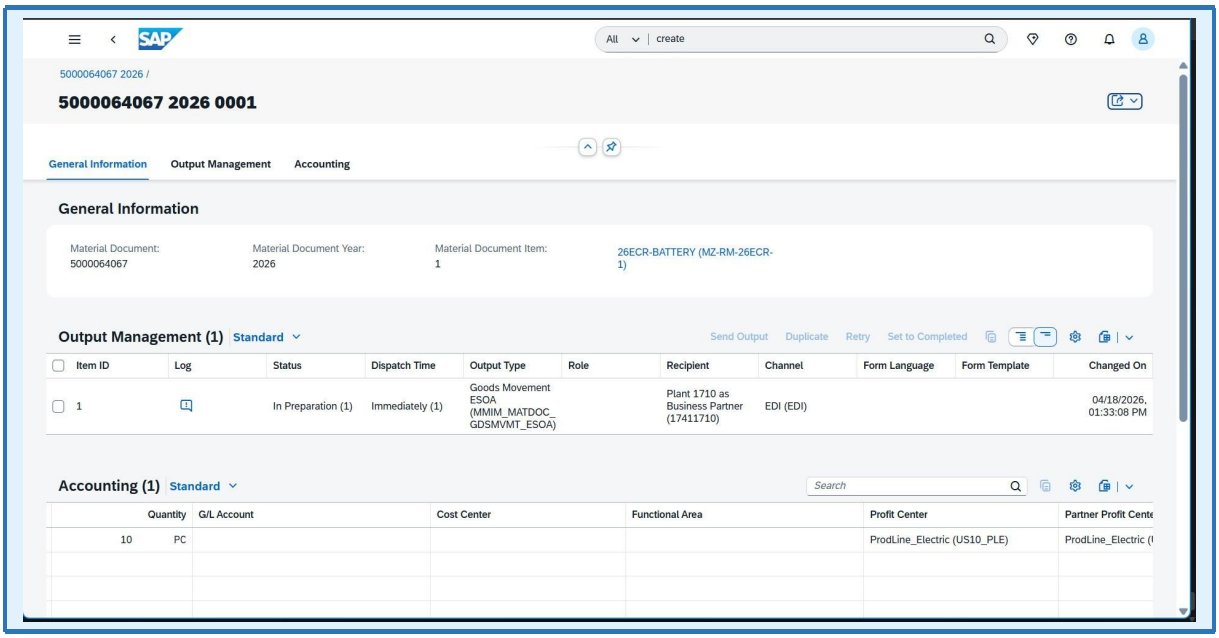
Material Document 5000064067 – GR Detail showing 26ECR-BATTERY, 10 PC received at Plant 1710

Screenshot 14



New Supplier Invoice – Balance: 0.00 USD | Carbon Tec Inc. | Gross Amount: 228.30 USD | Ref: 4500064017

Screenshot 15

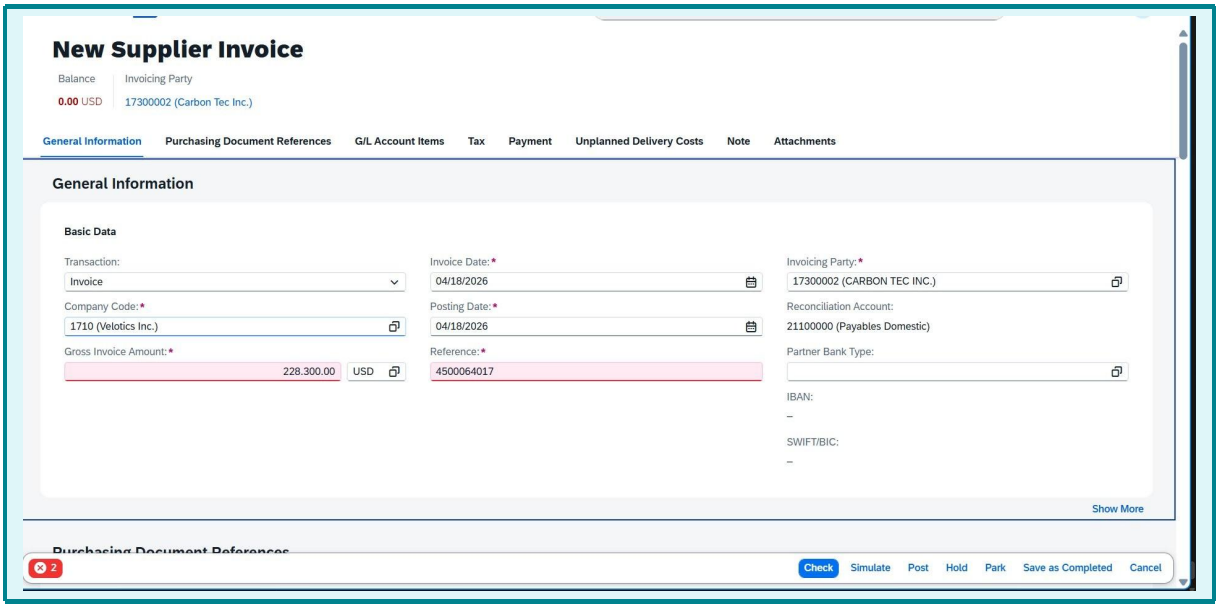


Purchasing Document References – Empty (before PO reference entry)

3.7 Steps 16–19: Invoice Verification & Final Posting

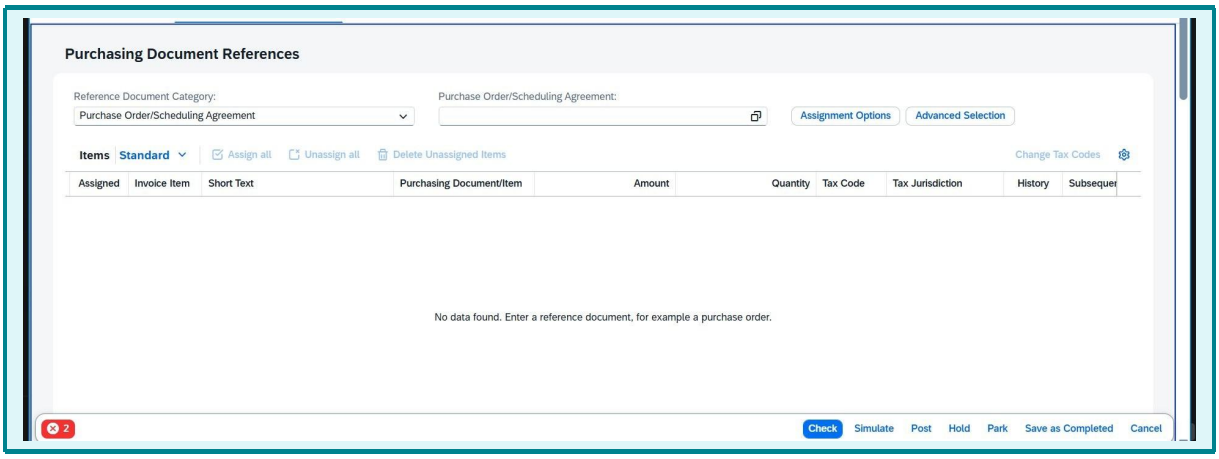
The Purchasing Document References section showed PO 4500064017/10, 26ECR-BATTERY, 228.30 USD, 10 PC — all assigned (3-way match). The invoice showed Balance 0.00 USD confirming a perfect match. After clicking Post, Supplier Invoice 5105662751/2026 was created — completing the P2P cycle.

Screenshot 16



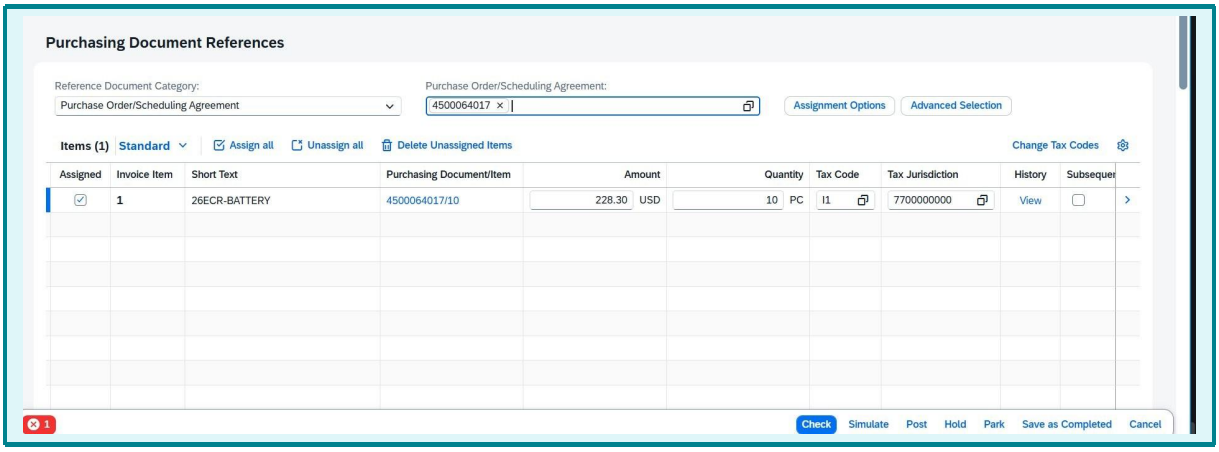
Invoice 3-Way Match – PO 4500064017 | 26ECR-BATTERY | 228.30 USD | 10 PC | Assigned ✓

Screenshot 17



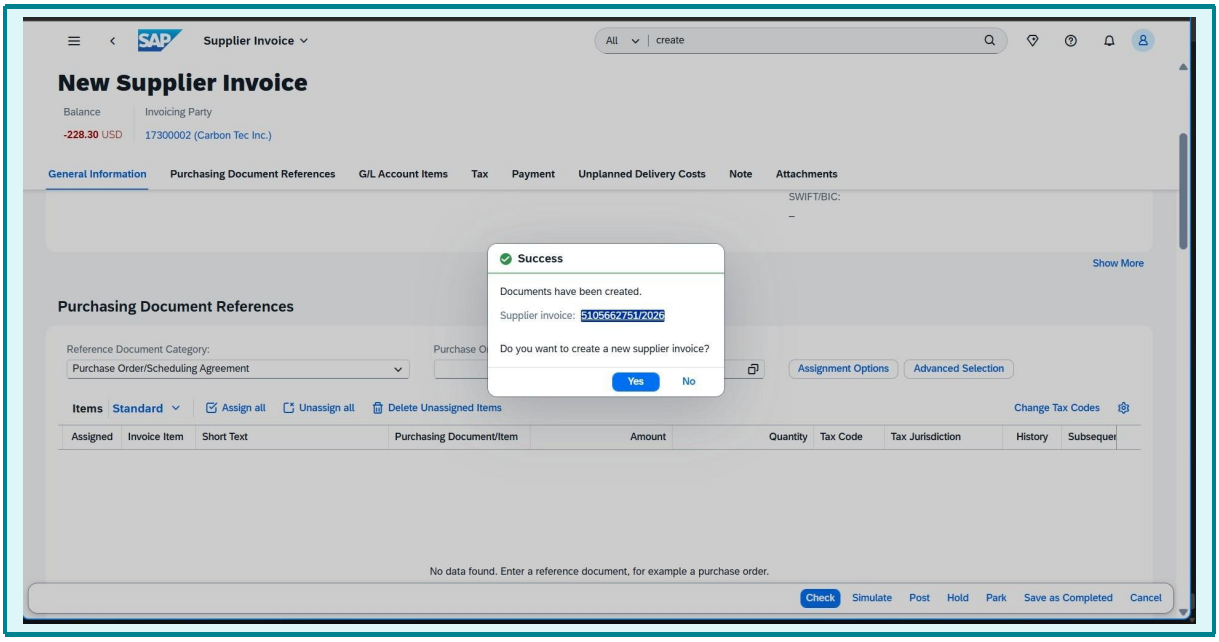
Invoice General Information – Balance 0.00 USD confirmed | Invoicing Party: Carbon Tec Inc. | Amount: 228.30 USD

Screenshot 18



Purchasing Document References – 3-Way Match Complete: PO 4500064017/10 | 26ECR-BATTERY | 228.30 USD | 10 PC

Screenshot 19



FINAL SUCCESS – Supplier Invoice 5105662751/2026 Posted | P2P Cycle Complete

4. Document Summary

The following table summarises all SAP documents created during this P2P project execution:

P2P Step	Document Type	Document Number	Key Details
1 – Procurement Need	Purchase Requisition	10006734	10 PC 26ECR-BATTERY | Plant1710
2 – Order Placement	Purchase Order	4500064017	Carbon Tec Inc. | 228.30 USD |
3 – Goods Delivery	Material Document (GR)	5000064067/2026	10 PC received | Plant 1 US (1710
4 – Invoice Posting	Supplier Invoice	5105662751/2026	228.30 USD | Balance: 0.00 | 3-W

5. Three-Way Match Explained

The Three-Way Match is the core financial control in SAP MM invoice verification. Payment is only approved when three documents align perfectly in quantity, price and supplier.

Document	Number	Amount	Quantity
Purchase Order (PO)	4500064017	228.30 USD	10 PC
Goods Receipt (GR)	5000064067/2026	228.30 USD	10 PC
Supplier Invoice	5105662751/2026	228.30 USD	10 PC
Result	**MATCH ✓**	**Balance: 0.00 USD**	**No Variance**

6. Key Learnings

Integrated End-to-End Process	Each document (PR → PO → GR → Invoice) builds on the previous and creates a complete audit trail.
SAP Fiori User Experience	The tile-based Fiori interface is far more intuitive than traditional SAP GUI, enabling faster navigation.
Master Data is Foundational	Without correct Material Master and Supplier Master data, procurement transactions cannot be completed.
Three-Way Match Control	The 3-way match is a powerful mechanism that protects organisations from overpayment and financial fraud.
Account Assignment Categories	Asset (A), Cost Centre (K), and Project (P) each have different requirements affecting downstream processes.
Real-World Governance	Live SAP systems include approval workflows, release strategies, and authorisation controls for procurement governance.

7. Conclusion

This project successfully demonstrated the complete Procure-to-Pay (P2P) cycle in SAP S/4HANA Cloud. Starting from the creation of a Purchase Requisition through to the posting of a verified Supplier Invoice, all key steps of the P2P cycle were executed hands-on in a live SAP environment.

The simulation involved Velotics Inc. procuring 10 units of 26ECR-BATTERY from Carbon Tec Inc. at a total value of 228.30 USD. The procurement journey generated four key SAP documents — PR 10006734, PO 4500064017, Material Document 5000064067/2026, and Supplier Invoice 5105662751/2026 — all traceable and linked within the SAP system.

The successful Three-Way Match with a zero balance confirmed the procurement was executed correctly with no price or quantity variances. This project provides a strong practical foundation in SAP MM procurement operations and reinforces the theoretical concepts covered in the SAP Fiori course.

Document	Number	Status
Purchase Requisition	10006734	Release Completed ✓
Purchase Order	4500064017	In Approval ✓
Material Document (GR)	5000064067/2026	Posted ✓
Supplier Invoice	5105662751/2026	Posted – 3-Way Match ✓

— End of Project Report —

Param Chawla | Roll No: 2330318 | SAP Fiori – LTIMindtree | KIIT University | April 2026